

Crimson College of Technology
Mid Term Exam

Level: Bachelor
Programme: BBA
Course: Essentials of Finance

Year: 2025
Full Marks: 50
Pass Marks: 25
Time: 2 hrs.

Candidates are required to give their answers in their own words as far as practicable. The figures in the margin indicate full marks.

Section A

Very Short Answer Questions

Attempt all the questions. Give your answer in few lines. [5*2=10]

1. What is finance?
2. Who is CFO?
3. Define financial system.
4. Explain about primary market.
5. Birtamode Transport Company has current assets of Rs. 800000 and current liabilities of Rs. 500000. Calculate current ratio.

Section B

Descriptive Answer Questions

Attempt any three questions. [3*10=30]

6. What is agency relationship? How conflict between owners and managers can be resolved?
7. Briefly explain about different types of financial and non-financial institutions.
8. Using the following information, complete the balance sheet given below.

Debt to assets ratio	50%
Quick ratio	0.8
Total assets turnover	1.5 times
Days sales outstanding	36 days
Gross profit margin	25%
Sales/inventory	5 times

Balance Sheet

Liabilities and equity	Amount (Rs.)	Assets	Amount (Rs.)
Accounts payable		Cash	
Long term debt	Rs.40000	Accounts receivable	
Common stock		Inventories	
Retained earnings	Rs. 65000	Fixed assets	
Total liabilities and equity		Total assets	Rs. 200000

9. Anmol Company is planning to borrow Rs. 500000 on a 3 year 8% annual payments fully amortized term loan. Prepare a loan amortization schedule.

Section C

Comprehensive Answer Question

10. Read the following case and answer the questions appropriately. 10

Siddhartha Hospitality is a major enterprise in Nepal, renowned for its diverse portfolio of businesses that includes hotels, training institute, bakeries, a hospitality trade center, and an ongoing expansion into the world of luxurious hotels and resorts. It has effectively set its position as a premier and highly-regarded brand within the hospitality industry of Nepal, earning a distinguished reputation for its excellence and innovation.

Newly appointed CEO of this hotel is considering to expand the hotel across Nepal. He assumes massive amount of money which is needed to support the expansion of the businesses. If the firm collect the resources on time there is still chances to cater untapped market and the firm will be able to beat the competition by scaling the businesses.

Required

- a. As you know, one of the decision to raise money is to go public. Is it suitable decision for Siddhartha Hospitality? Why or why not?
- b. What type of financial instruments the firm can issue to raise large amount of money?